

FOR PERSONAL USE ONLY

PROCESS FOLLOWED FOR TAKING PAPA TRADE

1. Candle Story (CONTEXT):

- a. Study the chart history of the scrip on different time frame to get a perspective and to ascertain whether it is a Godha, Gadha or Sideways. Start with Monthly time frame. Look for change in Dow Theory. Dow shows the trend change by first HH & HL. Look for points in the chart which defines the trend and mark those points.
- b. Find out whether the price is in Bulls/Bears territory by running the 50 and 200 EMA's. They define the bull/bear territory. If the price is above EMA it is a bull territory. Avoid stocks between 50 and 200 EMA because the stock may get support at 200 EMA but resistance at 50 EMA.
- c. Study the Tide by checking MACD. Look for trendline in the tide. Mark the trendlines, we might BO/BD.
- d. Study Wave for the Weapon candle.
- e. Study the candlestick- whether it is bullish or bearish. The type of candlestick pattern. Whether a combination with earlier candle possible, if so the outcome
- f. Mark Support and resistance wrt the candle. Check if there is a BO/BD.
- g. Look out for chart pattern, if any.
- h. Check Volume of the candle. If the intensity of the volume is above average it is good.
- i. Confirm the Double Screen system in wave (RSI + Stochastic) for buy/sell signal.
- j. Look for PAPA setup. See if there is any trendline BO/BD.

2. Candle (Concept):

- a. Whether the candle is a weapon candle ie., strong bullish/bearish.
- b. Whether the candle has been formed after gap up/gap out, FBO, FBD etc.
- c. Volume of the candle

- d. Set the entry and stop loss.
- e. Fix the SL on the following basis:
 - Median of the Weapon candle with good volume.
 - Low of the candle if the volume is not good.
 - Consider Support & Resistance
 - (All above on Wave time frame)
 - If the above is not happening then check in higher EMA's
 - There are certain levels which can act as S & R and hence these can also become SL.
 - consider entry on ripple basis to take entry near stop loss and for maximisation of reward and reduction of risk.

3. **Confirmation:**

- a. If conformation is required for taking entry then wait for the next candle before proceeding with the trade.
- b. Set entry and stop loss on the basis of the conformation candle.
- c. Set targets on the basis of chart pattern/ S&R levels.

4. **Double Screen Signal:**

- a. Check MACD for Tide say on Weekly basis
- b. Check Wave on daily basis and set indicators:
 - (i) RSI
 - (ii) Stochastic
 - (iii) EMA's

5. **Swing/Momentum Trade:**

- a. Set the Bollinger Band
- b. Set DMI

6. **Swing Trade:**

- a. If the candle is at the upper/lower band of the BB (BB is not challenged) then consider to trade as Swing long/short. Ideal if there is DT/DB/FBO/FBD.
- b. If price is creating resistance at upper band - price may go down
- c. if price is creating support at lower band- price may go up
- d. Use the PAPA check list to conform the Swing action.
- d. Look for BKP /BKT
- e. Check bullish/bearish divergences.
- f. Set the targets

- g. Fill up the excel sheet for risk reward ratio
- h. Exit trade when targets are met.

7. **Momentum Trade: Ungli Set up (AAA)**

- a. Check whether there is a BO or BD and BB is challenged for momentum long/short.
- b. Set the DMI to see whether $+DI > -DI$ PCO or whether NCO
- c. $RSI > 60$ for upper BB challenge and $RSI < 40$ for lower BB challenge.
- d. ADX must show the UNGLI to indicate the strength of the momentum.
 If ADX Ungli is $> 12 - 15$ (good ungli)
 If ADX Ungli is $> 15 - 22$ (Better ungli)
 If ADX Ungli is > 22 it is best ungli.
 Ungli above 55 is unstable and we have to be watchful.
 (Incise of Sandwhich Pattern, Rounding Bottom and Rounding Top the Ungli can be seen on the lower time frame.)
- e. Set the target.
- f. Fill up the excel sheet for risk reward ratio
- g. Use the PAPA check list to conform the momentum.
- h. "Nice to have" – Popcorn Setup - Check MACD whether above or below zero.
- i. The price must align to 5 EMA for momentum. If the price moves side ways from 5 EMA there will be drop in Ungli ADX strength. Observe 4/5 candles sideways and exit.

8. In spite of all the above checks the price may not go in the expected direction. If we expect it to move up based on our study then we must also have an action plan if the stocks moves down or side ways. "What if" analysis will come into picture. For example, if the next day the price starts downwards (instead of upwards as expected) then based on the conformation candle we may set the entry and targets on the basis of chart patterns/S&R level. If the price goes sideways which means there was no follow-up candle and we observe a neutral candle then wait for the proper candle or else quit.

